

WEEK 5:

Accounting:

- **Financial accounting:** process of consolidating financial info to make it clear and understandable. The key goal is to record and report a company's financial performance.
- **Functions:**
 - Recording: day to day logging
 - Classifying: grouping similar transactions
 - Summarizing: creating readable financial statements
 - Interpreting: analysing data to make strategic business decisions
- **Tax accounting** determines the amount of tax-based payments a company needs to make such as income tax/pensions. This ensures the companies are following the regulations set by the govt.
- **Cost and management accounting:** used for internal stakeholders for their decision-making purposes.
- **Users of accounting:**
 - Internal users: directly manage the organization.
 - External users: do not directly run the organization – lenders, creditors, investors/shareholders, govt
- GAAP – generally accepted accounting principles
 - Revenue recognition principle
 - Expense recognition
 - Measurement / cost principle

Balance sheet:

- Assets - something a business owns or controls that is expected to provide future benefits
 - Fixed assets: meant for long term period use. – intangible assets / property plant and equipment
 - Plant and machinery
 - Current assets: meant to maintain liquidity and for the day to day operations of the business.
 - Cash and bank balance
 - Marketable securities
 - Inventory/stock
 - Loans and advances that the company has given
 - Prepaid expenses – rent/insurance

- Intangible assets: assets you cannot touch but they still create value and revenue – patents, copyrights, licenses, apps
- Liabilities – an obligation that a business owes to others – like lenders/suppliers/employees
 - It arises from a past transaction
 - It is a legal or financial obligation
 - It involves a future outflow of resources
 - Current liabilities – short term – occur as a result of regular operations of a business
 - Creditors – for suppliers of inputs/raw materials
 - Accrued liabilities – expenses incurred but not paid in cash
 - Income tax payable
 - Accounts/notes payable - where promissory notes have been provided by the company.
 - Non-current liabilities – long term
 - Long term sources of finance with interest commitment
 - Long term loan – for growth
 - Short term loan – for daily needs
 - Secured loans – backed by assets
 - Unsecured loans – no collateral
- Equity capital
 - Amount invested by shareholders into the business.
 - Accumulated profits:
 - Reserves and surplus – profit/loss balance, capital reserves, securities premium
- Preference capital
 - Holders of these shares have some preferences over equity holders in terms of:
 - Dividend payment
 - Repayment of capital
 - Preference shareholders:
 - Have lower risk
 - Have lower potential
- Accounting equation: **assets = liabilities + equity(capital)**

Revenue:

- Money earned from selling goods or services

Expenses:

- Cost incurred to run the business and generate revenue

- A company with low revenue can have higher profits if the expenses are low
- Variable expenses: expenses that change with how much you sell.
- Fixed expenses: expenses that do not change with sales (atleast in the short term)

Asset vs expense:

- An **asset** helps generate revenue in the future.
- **Expense** provides immediate used-up value. – these are used within a day or very short time

Sales: credits vs cash

- **Cash sales:** customer pays immediately
- **Credit sale:** customer receives the product now but pays later.

Bad debts:

- When a customer who bought on credit goes bankrupt and cannot or does not pay – the company therefore will need to “**write off**” this **receivable** as a **loss**
- **Write off:** an internal accounting action where the one who gave credit removes unpaid credit from its active balance sheet.
- Bad debt is treated as an expense.

Purchase and expenses: credit vs cash

- **Cash purchases** – paying for goods immediately
- **Credit purchases:** buying inventory/supplies now, paying the vendor later – creates payables/creditors
- **Credit expenses:** getting a service now but paying the invoice later – similar to purchase, but for services not goods.

Advanced timing concepts:

1. prepaid expenses

- Paying for something in advance before you use it.
- It starts as an asset and becomes an expense over time.

2. Outstanding expense:

- An expense you have incurred but you haven't paid for yet – it's a liability.

Dividends:

- A portion of the company's profits distributed directly back to the shareholders/owners
- Dividend is not an expense – it is a distribution of profit. Expenses happen before profit and dividend happens after profit.

Retained earnings – net profits distributed as dividends/added back into capital account/kept as general reserves

Common stock/capital – initial funds invested by owner/shareholders into the business – treated as liability

Case study:

Case Study: Alpha Consulting's First Month of Operations

Case study of Alpha Consulting through their first active month to see how revenues, expenses, and timing differences play out in real-time.

1. The Setup: Assets vs. Expenses and Prepays

- **Transaction A: Paying for Insurance.** On Day 1, Alpha Consulting pays ₹6,000 cash for a 6-month corporate insurance policy.
- **Concepts Discussed: Asset vs. Expense:** Why isn't this ₹6,000 just an "expense"? Because it provides *future* value over the period of 6 months. An expense provides immediate, used-up value.
 - **Prepaid Expenses:** Paying for something in advance before you use it. It starts as an *Other Current Asset*. After month 1, ₹1,000 of this asset is "used up" and officially becomes an Insurance Expense.

-₹6k Cash, +₹6k Prepaid Asset (No net change, balances)

2. Generating Income: Revenues and Receivables

- **Transaction B: Closing the First Deal.** Alpha delivers a major IT project. The total agreed fee is ₹20,000. The client pays ₹5,000 immediately in cash, and signs an agreement to pay the remaining ₹15,000 in 30 days.
- **Concepts Discussed:**
 - **Revenues/Sales:** The money earned from selling goods or services.
 - **Cash vs. Credit Sales:** The ₹5k is a *Cash Sale* (increases cash immediately). The ₹15k is a *Credit Sale*.
 - **Receivables (Debtors):** The ₹15,000 owed by the client becomes a current asset called "Accounts Receivable."

+₹5k Cash, +₹15k Receivables = +₹20k
Equity (Revenue)

3. Incurring Costs: Purchases, Expenses, and Payables

- **Transaction C: Buying Supplies.** Alpha buys ₹3,000 of office supplies (inventory) from a vendor, promising to pay in 45 days.
- **Transaction D: Running Ads.** Alpha runs a Google Ads campaign and immediately pays ₹2,000 in cash.
- **Concepts Discussed:**
 - **Credit Purchases & Payables (Creditors):** Buying inventory now but paying later creates a current liability ("Accounts Payable").
 - **Cash Expenses:** The ₹2,000 ad spend is a direct Cash Expense. It provides immediate value and depletes cash.

Event	Concept Demonstrated	"Balance Sheet" (Assets = Liabilities + Equity)	Impact
Supplies (₹3k)	Credit Purchases; Payables	+₹3k Inventory = +₹3k Accounts Payable	
Google Ads (₹2k)	Cash Expense	-₹2k Cash = -₹2k Equity (Expense)	

4. The End-of-Month Realities: Accruals and Bad Debts

- **Transaction E: Payroll.** The month ends. Employees have earned ₹8,000 in salaries, but payday isn't until the 5th of next month.
- **Transaction F: A Client Defaults.** Alpha receives news that a small legacy client has gone bankrupt and will never pay an old ₹1,000 invoice.
- **Concepts Discussed:**
 - **Outstanding (Accrued) Expenses:** The ₹8,000 is an expense incurred *this* month, but since it's not paid yet, it becomes an *Accrued Liability*.
 - **Bad Debts:** The ₹1,000 receivable must be "written off" as an expense/loss because it will never turn into cash.

Payroll (₹8k)	Outstanding (Accrued) Expense	+₹8k Accrued Liability - ₹8k Equity (Expense)	
Default (₹1k)	Bad Debt Write-off	-₹1k Receivables = -₹1k Equity (Expense/Loss)	

5. Rewarding Owners: Dividends

- **Transaction G: Dividends.** The founders decide to distribute ₹4,000 of the company's accumulated cash to themselves as a reward.
- **Concepts Discussed:**
 - **Dividends:** A portion of profits distributed back to shareholders. This is *not* an expense; it is a reduction of Equity and Cash.

Event	Concept Demonstrated	"Balance Sheet" (Assets = Liabilities + Equity)	Impact
Payout (₹4k)	Dividends	-₹4k Cash = -₹4k Equity (Dividends)	

Ravi's Lemonade Stand sells 60 glasses a day on average for the month of June (30 days) at ₹10 each. Daily operating expenses are ₹350. Additionally, he pays a monthly fixed rent of ₹500. If he decides to distribute 50% of his monthly profit as dividends, what amount remains in the business as 'Retained Earnings'?

$$\text{Revenue} = \underbrace{60}_{\text{per day}} \times \underbrace{10}_{\text{for month}} \times 30 = 18000$$

$$\text{Expenses} : \underbrace{350 \times 30}_{\text{daily expenses}} + \underbrace{500}_{\text{fixed rent}} = 11000$$

$$\text{Profit} = 18000 - 11000 = 7000$$

$$\text{dividend} = \frac{50}{100} \times 7000 = 3500$$

$$\text{Retained Earnings} = 7000 - 3500 = 3500$$